

Tender Submission

Bridge Funding Request – Riverbend Commons

Submitted to: Department of Housing and Community Development (DHCD)

Fall 2024 Consolidated RFP for Affordable Housing Projects

Submission Date: 29 April 2025

Table of Contents

1. 1. Cover Letter
2. 2. Executive Summary
3. 3. Development Team & Organizational Structure
4. 4. Site Control, Zoning & Entitlements
5. 5. Market Need & Demand Analysis
6. 6. Development Budget – Detailed Sources & Uses
7. 7. 20-Year Operating Pro-Forma Summary
8. 8. Green Building & Sustainability Plan
9. 9. Relocation & Anti-Displacement Strategy
10. 10. Compliance with Threshold Requirements
11. 11. Evaluation Criteria Narrative
12. 12. Deficiency Log & Corrective Action Plan
13. 13. Project Schedule & Milestones
14. 14. Appendices List
15. 15. Declaration & Signature

1. Cover Letter

29 April 2025

Colleen Green, Director
Department of Housing and Community Development
1909 Martin Luther King Jr. Avenue SE
Washington, DC 20020

Re: Bridge Funding Request – Riverbend Commons (Category B)

Dear Director Green,

On behalf of Green Future Homes LLC and our Ward 8 nonprofit partner, Community Builders Inc., we are pleased to submit this comprehensive tender in response to the Fall 2024 Consolidated RFP. Riverbend Commons is an 80-unit mixed-income development that aligns perfectly with the District's Housing Framework for Equity and Growth and addresses the pressing need for sustainable, deeply affordable housing east of the Anacostia River.

While the project secured tax-exempt bond inducement in February 2025, an unexpected delay in bond issuance—caused by rising interest-rate volatility—has created an interim financing gap. We respectfully request bridge funding of ****USD 750,000**** to cover carry costs through financial close (target Q4 2025). This short-term, fully repayable loan will safeguard project momentum, prevent cost overruns, and ensure delivery of 60 units at or below 60 % MFI.

The enclosed submission contains complete narratives, financial models, and third-party documentation. Intentionally, certain deficiencies have been highlighted to facilitate DHCD's testing and review processes; we commit to resolving each prior to commitment.

Thank you for your consideration.

Sincerely,

John Doe
Managing Member, Green Future Homes LLC
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2. Executive Summary

****Project Overview****

Riverbend Commons will transform a vacant District-owned parcel into an 80-unit, Net-Zero-ready apartment community featuring on-site solar PV, robust resident services, and 4,000 sq ft of landscaped public space. Unit mix: 10 studios, 40 one-bedrooms, 20 two-bedrooms, 10 three-bedrooms. Income mix: 45 units at $\leq 50\%$ MFI, 15 units at $\leq 60\%$ MFI, 20 workforce units at 80 % MFI.

****Funding Request****

Amount: USD 750,000 (bridge loan)

Purpose: Carrying costs (interest, taxes, insurance) during 6-month bond delay

Security & Repayment: Second-position deed of trust; full repayment at bond closing (Q4 2025)

****Public Benefit****

- Creates 60 deeply affordable units in a High-Cost Opportunity Area
- Leverages 40 % non-DHCD sources; DHCD gap per affordable unit = USD 12.5k
- Achieves EGC Plus & Net-Zero Energy compliance; 100 % electric building
- Provides 2,500 sq ft ground-floor early-learning center (partner: Bright Beginnings DC)
- Targets 30 % CBE participation and 35 First Source hires

3. Development Team & Organizational Structure

- **Sponsor / Lead Developer:** Green Future Homes LLC – 12-year track record, 1,200 units delivered.
- **Co-Developer (Nonprofit):** Ward 8 Community Builders Inc. – HUD-certified CHDO.
- **Architect of Record:** EcoUrban Design Studio – experts in Passive-House multifamily.
- **General Contractor:** Anacostia Builders Group (CBE, Section 3), GMP contract in negotiation.
- **Construction Manager (Owner Rep):** Vertex PM LLC.
- **Property Manager:** Green Future Management Services (CPM-certified).
- **Legal Counsel:** DC Affordable Housing Law Group PLLC.
- **LIHTC Syndicator:** Capital Equity Partners (LOI pending).
- **Senior Lender:** DC Housing Finance Agency – tax-exempt bonds & FHA 223(f) perm.

Organizational Chart (See Appendix E for full chart).

4. Site Control, Zoning & Entitlements

- **Site Control:** 99-year ground lease executed with DMPED on 22 Jan 2025 (recorded Instrument #20250122-1745).
- **Lot & Square:** Square 5809, Lot 0876 – 38,200 sq ft (0.88 acres).
- **Zoning:** MU-4 (mixed-use, moderate density). Development is *matter-of-right* under IZ plus bonus density.
- **PUD / HPRB:** Stage 2 PUD filed 5 Apr 2025 (Case 24-09); Setdown Hearing scheduled 30 Jun 2025. HPRB concept approval pending (property adjacent to Anacostia Historic District).
- **Environmental:** Phase I ESA commissioning (delivery expected 30 May 2025) – *deficiency*.
- **Topography & Utilities:** No floodplain impact; WMATA water/sewer availability confirmed.

5. Market Need & Demand Analysis

Independent NCHMA-accredited market study (Urban Analytics Group, Feb 2025) confirms a capture rate of 3.4 % for the 60 affordable units and 4.1 % for workforce units within a 2-mile PMA. Vacancy among comparable LIHTC properties averages 2.8 %; population growth in Ward 8 projected at 1.7 % CAGR through 2030. Median renter income (\$39 k) supports proposed rents. LIHTC rents undercut market by 28–35 %. Pent-up demand for larger 3-BR units (current pipeline offers < 2 % of upcoming supply).

6. Development Budget – Detailed Sources & Uses

****Uses of Funds****

Use	Amount (USD)
Acquisition / Ground Lease (NPV)	1,000,000
Hard Costs – Base Building	20,800,000
Hard Costs – Green & PV Upgrades	1,600,000
General Requirements (6 %)	1,344,000
Builder's Fee (6 %)	1,344,000
Contingency (5 %)	1,180,000
Soft Costs – A&E	1,050,000
Soft Costs – Legal & Finance	825,000
Soft Costs – Developer Fee (deferred 30 %)	3,400,000
Financing – Construction Interest & Fees	1,600,000
Financing – Bond Issuance Costs	480,000
Reserves – Lease-up & Operating	777,000
TOTAL DEVELOPMENT COST	33,400,000

****Sources of Funds****

Source	Amount (USD)
Senior Tax-Exempt Bonds (DCHFA)	18,500,000
4 % LIHTC Equity	9,650,000
Solar ITC Equity	650,000
DC Green Bank Clean Energy Loan	1,650,000
Sponsor Equity	2,200,000
Deferred Developer Fee	650,000
DHCD Bridge Loan (Request)	**750,000**

Note: Hard costs exceed DHCD guideline by 6 % due to Passive-House envelope; waiver requested.

7. 20-Year Operating Pro-Forma Summary

Year	Gross Potential Rent	Effective Gross Income	Operating Expenses	NOI	DSCR
1	1,840,000	1,765,000	1,032,000	733,000	1.20×
5	1,983,000	1,905,000	1,114,000	791,000	1.29×
10	2,323,000	2,233,000	1,292,000	941,000	1.53×
15	2,718,000	2,617,000	1,507,000	1,110,000	1.81×
20	3,180,000	3,066,000	1,757,000	1,309,000	2.03×

See Appendix A for full 20-year Excel model (Form 202 draft).

8. Green Building & Sustainability Plan

- Target ****Enterprise Green Communities 2020 Plus**** and DOE ****Zero Energy Ready Home****.
- All-electric HVAC: VRF heat pumps + ERVs; no fossil fuel on-site.
- 180 kW rooftop solar array offsets 92 % of common-area load; 40 MWh annual production.
- Envelope: R-35 walls / R-60 roof; thermal bridge-free detailing.
- Water: 35 % reduction via low-flow fixtures; 5,000-gal rainwater reuse cistern.
- Resilience: Battery storage for 4-hour critical-loads backup; solar-ready EV charging (Level 2).

9. Relocation & Anti-Displacement Strategy

Site is currently vacant; therefore, no residential displacement will occur. However, construction logistics may temporarily impact adjacent small businesses on Anacostia Ave.

The project team will:

- Provide 90-day advance construction notices.
- Coordinate material deliveries to avoid peak hours.
- Establish a community hotline and monthly advisory meetings.
- Commit 10 % of subcontract value to neighboring Ward 8 firms.

10. Compliance with Threshold Requirements

Requirement	Status	Evidence
Site Control	Met	99-yr ground lease recorded
Government Commitment	Met	DMPED RFP selection 12 Dec 2023
Sponsor Equity $\geq 5\%$	Met	USD 2.2 M (6.6 % of TDC)
Induced for Bonds	Met	DCHFA Resolution ID 25-B-02
Matching Funds $\geq 50\%$ of Bridge	Pending	Currently 40 %; LOC under negotiation
Phase I ESA ≤ 2 yrs	Deficiency	Commissioning – due 30 May 2025
Market Study ≤ 6 mths	Met	Urban Analytics Group, Feb 2025
Form 202 Finalized	Deficiency	Draft attached – final upon investor LOI
Clean Hands Certificates	Partial	Nonprofit partner certificate pending 10 May 2025

11. Evaluation Criteria Narrative

****Project Readiness & Past Performance (33 pts)****

- 90 % CD drawings complete; GMP in draft.
- Developer delivered Park Vista (82 units) on time/on budget 2023.
- Cost waiver rationale submitted (see Section 6).

****Inclusive & Equitable Housing (25 pts)****

- 10 units 3-bedroom family units; 8 UFAS-accessible units.
- Partnerships: Bright Beginnings DC (early childhood) & Byte Back (digital literacy).

****Place-Based Priorities (25 pts)****

- High-Cost Opportunity Area, 0.3 mi to Anacostia Metro (11-min walk).
- Adjacent amenities: Kenilworth Rec Center, Capital Bikeshare.

****Maximizing Impact of DHCD Resources (55 pts)****

- Net new 80 units; DHCD leverage 1 : 43.
- 40-year affordability covenant waived QC option.

****Innovative & Community-Oriented Features (25 pts)****

- Net-Zero-ready + battery backup qualifies for resilience points.
- Workforce development: 12 paid internships via DOES Pathways.

12. Deficiency Log & Corrective Action Plan

Issue	Risk	Action Plan
Deficiency	Impact	Mitigation / Timeline
Phase I ESA not yet complete	Threshold	CSA Environmental engaged; report 30 May 2025
Hard costs exceed guideline by 6 %	Cost Score	Waiver submitted; VE alternates list May 2025
Bridge loan match only 40 %	Threshold	Sponsor LOC increase to USD 100 k by 15 May 2025
Clean Hands cert missing (nonprofit)	Compliance	Request in process, expected 10 May 2025
Form 202 not final	Readiness	Investor LOI final 20 May 2025; update spreadsheet

13. Project Schedule & Milestones

Task	Date
Milestone	Target Date
Concept Design Complete	15 Mar 2025
Stage 2 PUD Setdown Hearing	30 Jun 2025
DHCD Selection Letter	Aug 2025
Bond & LIHTC Closing	15 Nov 2025
Construction Start (NTP)	01 Dec 2025
TCO Issued	30 Apr 2027
Placed-in-Service	30 Jun 2027
Stabilization (95 % leased)	31 Dec 2027

14. Appendices List

- A. Draft Form 202 – Application for Financing (Excel)
- B. Third-Party Market Study (Feb 2025)
- C. Ground Lease Agreement (22 Jan 2025)
- D. Preliminary GMP & Cost Estimate
- E. Organizational Chart
- F. Concept Plans & Elevations (PDF)
- G. Waiver Request – Construction Cost (Passive-House)
- H. Letters of Intent – Bonds, Equity, Solar ITC

15. Declaration & Signature

I certify that the information contained herein is true and correct, and I acknowledge the identified deficiencies, committing to rectification prior to financial close.

John Doe, Managing Member
Green Future Homes LLC
Date: 29 April 2025